Article | 3 August 2026

UNITED STATES

Webinar: What if... The Fed cuts rates by next summer?

Financial markets are expecting a Federal Reserve rate hike to come as soon as September. But what if investors have got it the wrong way around? Join us this Thursday for a live webinar on the outlook for US interest rates and the dollar. Sign up here

Financial markets are expecting a Federal Reserve rate hike to come as soon as September. But what if investors have got it the wrong way around? How could inflation surprise us, and what would it mean for the dollar?

Join us the day before a crunch US jobs report for the second episode of **What if?** – a new summer webinar series hosted by James Smith exploring what could turn today's market consensus on its head.

You'll learn:

- What it would take for the Fed not to hike rates this year and what data matters most
- How Kevin Warsh is reshaping the Federal Reserve
- Why the Fed could cut rates in 2027
- What ING's call for the Fed means for the dollar

Click here to sign up

Details

Date: Thursday 6 August

Time: 1400 BST/1500 CEST/0900 ET

The webinar will last 30 minutes, including Q&A.

The event will take place online, and the waiting room will open 60 minutes ahead of the scheduled start time.

A joining link will be emailed following registration, and you will receive a reminder email 10 minutes before the scheduled start time.

Note: If you registered for or attended our recent webinar on oil prices, you'll automatically be signed up for this event and future events in our What if? series. Add it to your calendar by following the instructions on this page

Speakers

- **James Smith** (Developed Markets Economist)
- **James Knightley** (Chief International Economist)
- **Francesco Pesole** (FX Strategist)

Author

James Smith
Developed Markets Economist, UK
james.smith@ing.com

James Knightley
Chief International Economist, US
james.knightley@ing.com

Francesco Pesole
FX Strategist
francesco.pesole@ing.com

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Article | 23 July 2026 FX

Sterling's rally is not built to last

Sterling's rally has been driven more by positioning, carry and potentially some M&A flows than by a lasting improvement in UK fundamentals. With UK short-dated rates likely to drift lower and fiscal risks set to return ahead of the autumn, we expect sterling to hand back recent gains. Our central view remains for EUR/GBP to rise towards 0.88 by year-end

We expect sterling's strength to reverse as we see positioning, carry and M&A flows driving the rally rather than fundamentals

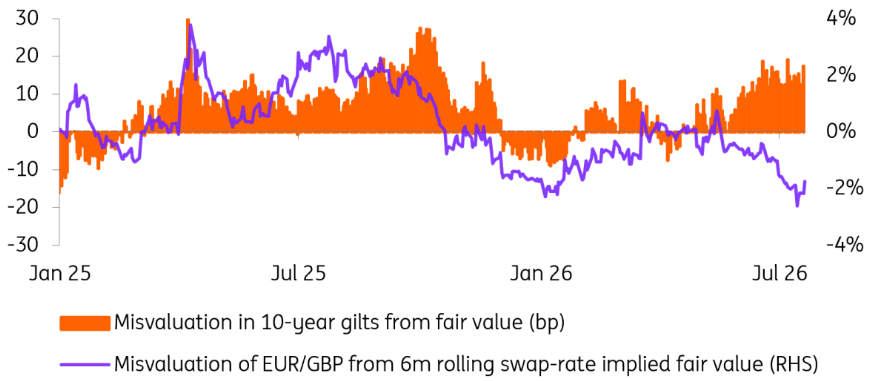
Not driven by a UK re-rating

Sterling has had a pretty good summer so far. Even though it is off recent highs, sterling has still managed to rally about 2% against the euro over the last month and has generally performed well against a strong dollar.

Normally, a sustained rally in sterling would be driven by some good news – be it on growth, relative rate differentials, fiscal improvements or just capital inflows. It's hard to pick out anything concrete here, but justifying sterling's rally on a perceived fiscal improvement – for example, Andy Burnham's choice of chancellor – looks wide of the mark.

Below we show a relationship between the UK risk premium embedded in the gilt market versus that embedded in the FX market. Through 2025, both 10yr gilt yields and EUR/GBP traded above levels normally associated with common financial variables. While that risk premium has remained in gilts for most of 2026, it has evaporated in sterling. As a result, this sterling rally is not a classic re-rating story.

Risk premium remains in gilts, not sterling



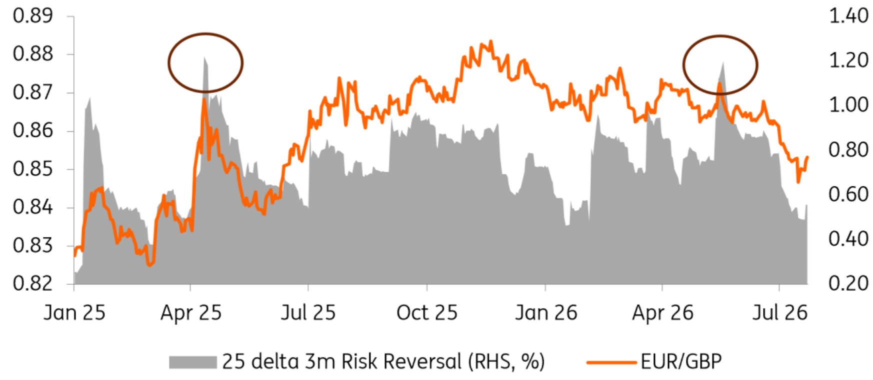
Source: ING, Refinitiv

Positioning explains more than fundamentals

A better explanation of the sterling rally – one which appeals to us much more – is the combination of a short squeeze and some one-off flows. On the former, it looked like speculators had turned exceptionally bearish on sterling ahead of UK local elections in early May on the (correct) assumption that poor results would spell the end of Prime Minister Keir Starmer's premiership. That bearish sterling sentiment can best be seen in the FX options market, where the risk reversal – the cost of buying a EUR/GBP call over an equivalent put option – rose to the most expensive levels seen since April 2025. That was when global financial markets were in turmoil after President Donald Trump's 'Liberation Day' tariffs.

Sterling failed to sell off in the immediate aftermath of those election results, and we suspect a combination of sterling's relative high risk-adjusted yields in quiet summer markets and potentially some large one-off sterling buying flows caught the market exceptionally short. In terms of those flows, there has been speculation that M&A activity could be in play.

EUR/GBP versus three month risk reversal



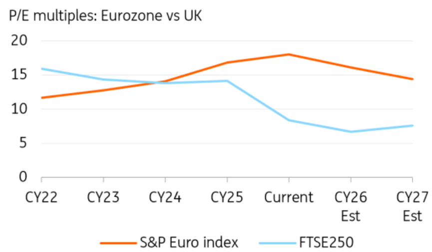
Source: Refinitiv, ING

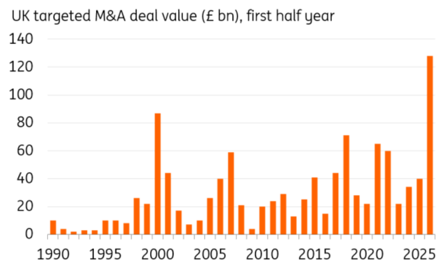
The M&A story is probably being overstated

Connecting M&A activity with currency moves is typically a thankless task – particularly when this cross-border activity can be FX-hedged, can be spread over many months and can be locally funded. Yet the available data does suggest there has been a huge pick-up in UK targeted M&A flows this year on the view that UK corporates are cheap.

Current price earnings multiples for the FTSE 250 trade at a steep discount to the S&P Euro index (around 180 names) and announced UK inbound inflows are running at record highs. Announced flows into the UK dwarf anything seen in continental Europe, with UK deals focusing on Financials (Schroders, Beazley, Allfunds Group), Consumer Staples (Food assets/Unilever) and Industrials (Intertek, Rotork).

UK versus eurozone P/E multiples and UK M&A inflows



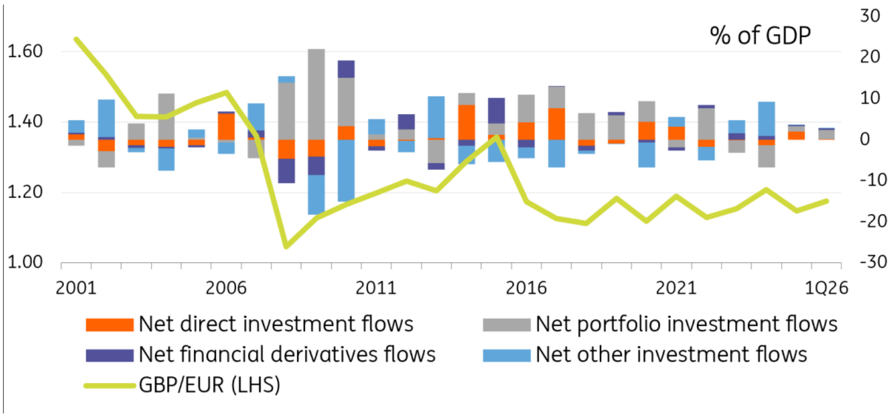


Source: LSEG, ING calculations

Pending and completed deals for UK companies this year add up to a staggering £220bn on some measures. But what we would say is that, over the last 25 years, net portfolio flows have on average been nearly five times larger than net direct investment flows. This can be seen below when looking at financial account flows as a % of GDP.

While M&A flows may occasionally grab the headlines in currency markets, they rarely drive sustained moves in currencies.

UK net investment and portfolio flows versus GBP/EUR



Source: UK Office for National Statistics, Refinitiv

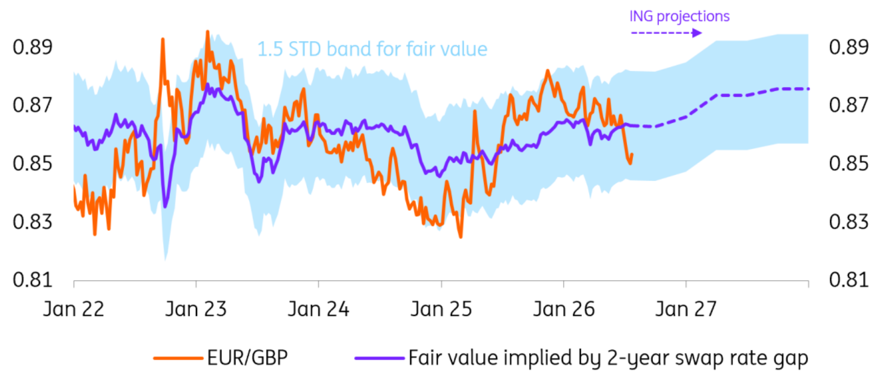
The real driver ahead is the Bank of England

What typically explains currencies is relative growth trends and what they mean for the monetary and fiscal mix. Coming back to basics, EUR/GBP has lacked a sustained trend since 2022, but interest rate implied fair value has consistently acted as an anchor around 0.86. The fair-value estimate is derived from a 10-year weekly relationship between EUR/GBP and the EUR:GBP 2Y swap spread, providing a stable benchmark against which to assess valuation. As shown in the chart below, periods of substantial over- and undervaluation have typically reversed over time.

The pair currently sits close to the lower edge of the 1.5-standard-deviation valuation band, suggesting limited downside potential barring a substantial swing in short-term differentials in favour of the pound. On the contrary, our swap rate forecasts imply a gradual rise in EUR/GBP fair value over the coming years. That is based on the house view that UK inflation looks, barring a much larger energy surge, unlikely to challenge the 4% area – the 4% threshold seen as the trigger for a Bank of England hike. An unchanged UK policy rate and one further European Central Bank hike to 2.50% is our house call over the next six to nine months.

Our call on rate spreads suggests EUR/GBP should trade higher from here. But what about the fiscal story? Could there be any surprises there?

Short-term rate differential is the medium-term anchor for EUR/GBP



Source: ING, Refinitiv

Tight fiscal arithmetic becomes harder to ignore

Like much of Europe, there are plenty of reasons to be downbeat about the UK's public finances. Spending pressures are growing – from defence to health and social care. Debt interest costs are high and rising, not helped by Britain's large stock of index-linked bonds and increasing reliance on foreign investors (particularly hedge funds). The tax burden may be the highest in decades, but spending has risen more significantly as a share of GDP since 2019. And tax on wages – income tax and social security – is among the lowest in Europe as a share of average labour costs.

That said, the UK is also a rare example of a country undergoing some meaningful fiscal consolidation. Since 2021, the tax thresholds have been frozen in cash terms. And subsequent waves of inflation have dragged more and more people into higher tax brackets, increasing tax revenues as a share of GDP. This fiscal drag is planned to continue over the remainder of this decade. And it's a key reason why gilt issuance is falling significantly – from £303bn in FY2025 to £246bn in the current fiscal year.

In short, there's a more positive near-term public finance story even if longer-term, it's hard to see how borrowing doesn't increase over and above current budget plans.

Over recent weeks, investors had become more relaxed about Burnham's appointment, following his commitment to stick to the existing fiscal rules. In theory, that precludes a stimulus package this autumn that would either materially increase gilt issuance or change the calculus for the BoE. But Burnham's recent openness to bigger changes – including lifting the tax-free allowance and greater funding for social care – means a bolder budget can't be ruled out. Investors will be particularly sensitive to any headlines on tweaks to the fiscal rules in the run-up to Burnham's first budget this October or November.

Sterling to hand back gains

Sterling's summer rally has come as a surprise to most, but it looks to be built on weak foundations. Into the autumn, we expect UK short-dated rates will be coming lower and the UK's fiscal position will again be under scrutiny. That means EUR/GBP doesn't need to spend too long down at these levels near 0.85 and we remain comfortable with our call for a move to 0.88 by year-end and a push to 0.90 in 2027. And based on our view that the Fed does not tighten in this cycle and the dollar softens, GBP/USD should continue to trace out a 1.32-1.36 range.

ING's forecasts for GBP

	2026		2027			
	Q3	Q4	Q1	Q2	Q3	Q4
EUR/GBP	0.87	0.88	0.89	0.90	0.90	0.90
GBP/USD	1.34	1.34	1.33	1.33	1.34	1.36

Source: ING

Author

Chris Turner
Global Head of Markets and Regional Head of Research for UK & CEE
chris.turner@ing.com

Francesco Pesole
FX Strategist
francesco.pesole@ing.com

James Smith
Developed Markets Economist, UK
james.smith@ing.com

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FX RATES UNITED STATES

Fed holds rates steady as three FOMC members dissent

In what was seen as the closest Fed decision for a number of years, officials opted to keep monetary policy unchanged. Markets still think the Fed will tighten policy at some point, but with two inflation prints and two job reports ahead of the September FOMC meeting, nothing is guaranteed. We still think the Fed will end up holding policy steady well into 2027

Fed Chair Warsh announcing that rates remain on hold despite three dissenting votes

Fed holds policy rate at 3-1/2 to 3-3/4 percent

The Federal Reserve has left monetary policy unchanged, maintaining the target range for the federal funds rate at 3-1/2 to 3-3/4 percent. There were three dissenters, with Beth Hammack (Cleveland Fed), Neel Kashkari (Minneapolis Fed) and Lorrie Logan (Dallas Fed) voting for an immediate 25bp rate hike. Remember they were the three that wanted the Fed to drop its “easing bias” at the April FOMC meeting. Going into today’s meeting, markets were pricing a slightly greater than one-third chance of a 25bp hike, while the Bloomberg survey suggested only 2 out of 104 economists polled expected a hike. The immediate market reaction has been a curve steepening with 2Y yields down modestly and the 10Y yield up fractionally while the dollar has softened a touch. Fed funds futures for September, which had been pricing a cumulative 26bp of rate hikes ahead of the decision, are now pricing 18bp.

As was the case last month, the accompanying statement was much briefer than what was published when Jerome Powell was at the helm, coming in at around half of the 320 words averaged at the last couple of Powell-led meetings. There was nothing new there with the acknowledgement of “solid” activity and “elevated” inflation with a commitment to price stability. In terms of the press conference, Kevin Warsh mentioned that he got the "good family fight" he wanted to see, but in the end, the committee opted for stability by a "large majority." He acknowledged higher nominal and real bond yields, which could perhaps be interpreted as implying the market may have done some of the work for them. Nonetheless, if inflation doesn't cool, Fed rate hikes could be part of the solution – "we will not hesitate to act".

Why they could have hiked, and why they didn’t

Today’s decision was the closest call for a number of years. The rationale for a hike today can be summarised as the Fed have missed the inflation target for five years and while some progress has been made, elevated oil prices in an environment of a tight jobs market means inflation may stay higher for longer. The median dot plot from the June summary of economic projections had one hike for 2026 and with the market fully discounting a 25bp move before year-end, the question would be, why wait? Moreover, it could be seen as a statement of intent under a new Fed Chair that confirms the Fed’s commitment to price stability and helps to anchor the long end of the Treasury yield curve.

The arguments against, and why we expected a no change outcome, were that having voted to keep rates on hold in June, the data flow since then certainly didn’t strengthen the case for a hike. Consumer confidence is weak, June jobs came in at less than half what was expected with substantial downward revisions to the previous two months, and inflation data was certainly more benign than anticipated with headline prices falling 0.4% month-on-month and core inflation flat on the month. Financial conditions had tightened with the 10Y Treasury yield 15bp higher, the dollar 0.5pp stronger on a trade-weighted basis and the S&P500 1% lower with the NASDAQ down 5.5%. Nine FOMC members may well think a rate hike will be needed this year, but of those nine there is a strong suspicion that five or even six are non-voters this year. Moreover, nine others think they won’t need to raise rates and that is indeed how they voted today.

Will they hike in September?

Markets ahead of today had been fully pricing a September rate hike, but again, there is a significant divergence between the market’s view and economists, who in aggregate expect stable policy to continue. We are in the camp that think the Fed will hold, but it is going to be close. Our thought process is that there are two inflation prints and two job reports between now and the 16 September FOMC meeting. Hiring surveys remain weak and there is scope for an unwind of World Cup hiring. Furthermore, the low unemployment rate has been held down by a sharp drop in the participation rate. This could indicate firms are cutting costs by encouraging early retirement. That said, even in the “prime” 25-54 age group, the participation rate has dropped 0.7pp since January. The jobs market is not as robust as the unemployment rate alone suggests.

Labour market participation rates (%)

Source: Macrobond, ING

Regarding inflation, oil prices have risen, but importantly, gasoline prices did not fall as much as they perhaps should have done when oil was below $70/bbl a couple of weeks ago. In fact, oil prices today of $85/bbl are broadly consistent with the current retail gasoline price of $4.10/gallon. Given the proximity to the mid-term elections, we continue to expect President Trump to push for a deal with Iran that allows a re-opening of the Strait of Hormuz, delivering lower fuel costs for an electorate that is under some financial pressure.

We should also remember that shelter holds the largest weighting within the inflation basket. With house prices barely rising 1% year-on-year and growing evidence from private sector data providers that rents have cooled considerably, this implies that the housing components can contribute to ongoing disinflation. Thirdly, there are the $166bn of IEEPA 'Liberation Day' tariff refunds that are providing a significant cash flow boost to corporate America, that should mitigate the threat of higher prices. Then finally, the biggest cost input for corporate America is not tariffs, energy, or semi-conductors. It is instead the cost of workers and wage growth is slowing meaningfully, with Friday’s Employment Cost Index expected to show labour costs rising merely 0.8% quarter-on-quarter.

If we are right, and we do see further evidence of disinflation and cooler jobs data, then we expect to see the market pricing of rate hikes moderate. That could culminate in the Fed leaving the policy rate unchanged for a prolonged period rather than hiking once and then cutting again in 2027 as they are currently projecting within their summary of economic projections.

Neutral/hawkish hold curbs dollar enthusiasm

The FX market, perhaps more than any other class, had been shifting towards a hike today and keeping the dollar broadly bid. The decision itself has seen the dollar a little weaker, largely in line with what had been priced into the FX options market, and the dollar sold off a little more in the press conference. Today's events will be a disappointment for those who felt Kevin Warsh could have flexed his hawkish muscles and left the FX market back to trading US data and what volatile oil prices mean for monetary policy.

In fixed income, we have seen some bullish steepening of the curve, 8bp off the short-end and only 2bp off the long end – especially as some were expecting a hike today to support the long-end. Break-even inflation rates from the 5Y5Y inflation swap have understandably nudged 4bp higher, and gold and silver have seen 2-3% rallies on the view that the Fed may not, after all, back up its inflation-fighting rhetoric with action. And perhaps worryingly for the Fed, the 30-year Treasury yield has risen 7-8bp.

For FX, the reaction at the long-end of the bond market is partially reversing the narrative of a tough Fed assuaging concerns about the dollar de-basement trade. EUR/USD probably needs to trade more in a 1.14-15 range now, but a more sustainable rebound requires a sustained period of lower oil prices and US jobs and price data convincing the markets and the Fed that a September rate hike is no longer required. This is especially so given Warsh's strong pitch today that the message from the markets has become more direct – and the current message is that the Fed will hike in September.

Overall, today's press conference can add to the sneaking suspicion that the Fed will talk tough but won't hike and the market conviction over a September rate hike may well come under pressure.

Author

James Knightley
Chief International Economist, US
james.knightley@ing.com

Chris Turner
Global Head of Markets and Regional Head of Research for UK & CEE
chris.turner@ing.com

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TRADE UNITED STATES

A new round of tariff woes: disturbing but not disruptive (for now)

Just when it seemed the summer break was within reach, a new round of trade tensions is already looming. August is increasingly shaping up to be another summer month dominated by trade disputes and tariff headlines

The last 12 months have shown that US tariff announcements tend to be far more dramatic than their eventual implementation.

Trade tensions are back. While markets have been focusing on the war in the Middle East and the renewed rise in energy prices, the last two weeks have again been very busy on trade and tariffs, even by the standards of last year. Here is the latest state of play:

- Canada gets hit hardest. On 20 July, US President Donald Trump signed three proclamations imposing 50% tariffs on Canadian goods under Section 338, citing discriminatory treatment of US exports, effective 19 August, with carve-outs for energy, potash, critical minerals, fish, and goods already under Section 232. Section 338 (which dates from the Smoot-Hawley era in the 1930s) is a new legal frontier and, so far, has been untested in court.
- The new tariffs on Canadian imports are another sign that the North American trade

pact is now formally on its way out. Trump's decision not to extend the United States-Mexico-Canada Agreement on 1 July triggered a 10-year wind-down process. That mechanism is doing exactly what it was designed to do: create negotiating leverage. This week, US and Mexican officials launched a third round of bilateral talks in Mexico City, focusing on technical issues related to steel, aluminium, automobiles and labour standards. For now, it appears that Washington is seeking to negotiate a bilateral successor agreement with Mexico while increasingly treating Canada as an adversary.

- There are also clear efforts to respond to the Supreme Court's February ruling that struck down tariffs imposed under the International Emergency Economic Powers Act (IEEPA). The administration's emergency fix was to invoke Section 122 of the Trade Act of 1974: a temporary balance-of-payments surcharge that Congress capped at 15% and limited to 150 days. As a result, it will automatically expire at 12:01 a.m. on 24 July, exactly 150 days after it came into effect.
- That was always scaffolding, never the building. The permanent replacement began to take shape on 12 March, when the US Trade Representative launched Section 301 investigations into forced labour as part of an explicit strategy to rebuild the tariffs struck down by the Supreme Court. The Section 301 action covers roughly 60 economies – about 99% of US import value – in two tiers: 10% tariffs on 14 economies including the EU, UK, Canada and Mexico, and 12.5% on 46 others, including China, Vietnam, India and Japan. Unlike Section 122, Section 301 has no statutory rate cap and no built-in expiry date. These tariff rates are probably low enough for most US trading partners not to oppose them. The European Commission, for example, has already signalled that these duties are unjustified but that it would accept them as long as they stay under the 15% Turnberry cap. Pragmatism dressed as principle, or principle dressed as pragmatism?
- There has been trade policy as theatre, with NATO as the stage. Trade policy has also become political theatre, with NATO serving as the stage. At the NATO summit on 8 July, Trump said he wanted to "cut off all trade with Spain, including visits", describing the country as "a terrible partner in NATO" that neither contributes nor pays its fair share. Why does this mainly fall under the label 'theatre'? Well first, trade policy is an exclusive EU competence and there is no legal instrument for tariffing one member state out of the single market. Anything targeting "Spanish" goods would hit EU goods and collide head-on with the Turnberry framework the US government itself signed. Second, the arithmetic argues against it: the US runs a goods surplus with Spain (roughly $26 billion in exports against $21 billion in imports), so an embargo would hurt American exporters more than Spanish ones. And third, the threat already served its purpose: within a day, Trump claimed Spain had "come back all the way" and agreed to pay more after the embargo threat. Whether Madrid actually conceded anything is disputed, but the pattern is the recognisable one: maximal threat, declared victory, quiet de-escalation.

New tariff woes: disturbing but not disruptive

All of these developments suggest that trade policy is once again moving to the forefront of market attention. However, maybe even more so than last year, the headlines are proving more disruptive than the reality. Admittedly, this latest bout of tariff brinkmanship comes at a time when the global economy is in a weaker position than it was on Liberation Day, not least because of higher energy prices. At the same time, however, the last 12 months have shown that US tariff announcements tend to be far more dramatic than their eventual implementation. The world has also adjusted to at least some degree of higher trade barriers. As a result, while a fresh round of tariff threats may disrupt the summer lull, it's unlikely to have the same disruptive power as it did last year. For Europe, at least, the drought and exceptionally low water levels in key waterways may ultimately prove more disruptive than the latest tariff woes.

Author

Carsten Brzeski
Global Head of Macro
carsten.brzeski@ing.de

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Article | 20 July 2026 COMMODITIES, FOOD & AGRI

El Niño casts a shadow over agri markets, but global food fears may be overblown

Forecasts point to a strong El Niño event at the end of 2026, raising fears over food supplies and prices. While we believe these fears are overstated at the global level, El Niño poses a more significant regional risk to agricultural output, particularly in Asia-Pacific, meaning food and agribusinesses should prepare for potential disruptions

A farmer in Manila, the Philippines. The impact of El Niño on global agricultural output is fairly limited, but Asia-Pacific is more exposed

El Niño at a glance

- El Niño is only one factor shaping commodity prices
- APAC among the most exposed regions
- Asian aquaculture is already feeling the impact
- The Indian monsoon season has got off to a slow start
- Forest fires, river water levels and rain onset data provide early warning signals
- El Niño can cause large production swings at the national level

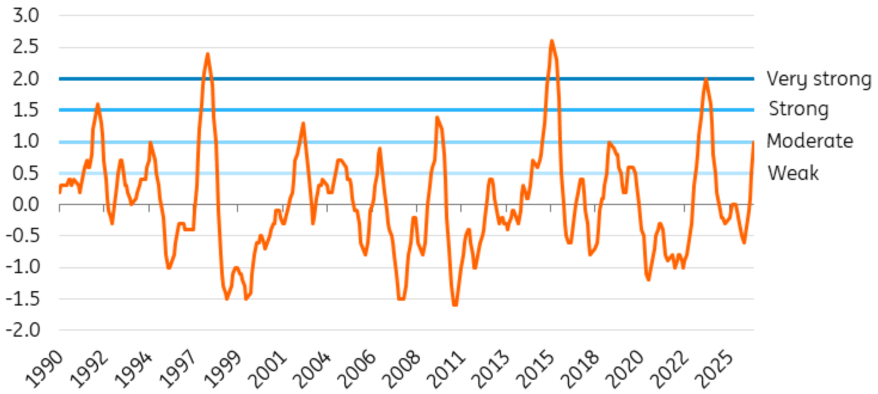
- At the company level, we'll see both short-term pain and short-term gain

Hola, El Niño! What happens when Hormuz and El Niño meet?

Global agricultural markets are still dealing with the impact of the disruptions to energy and fertiliser flows through the Strait of Hormuz. And as recent developments highlight, this risk is still very present. However, a new risk is building for agri markets, which has the potential to ripple through to the broader food and agricultural sector, and ultimately the global economy, in the form of food inflation. This risk is El Niño, which is now upon us, and forecasts are growing for a very strong event by year-end.

2026/27 El Niño has been gaining strength

Oceanic Niño Index with threshold levels, three-month running average up until June 2026

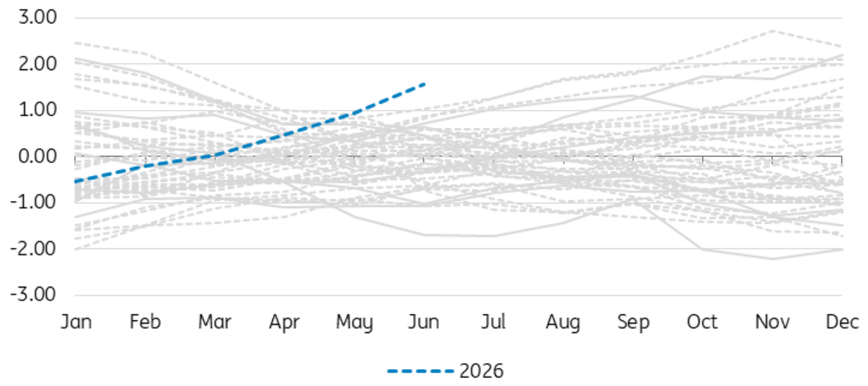


Source: NOAA, ING Research

Data from the National Oceanic and Atmospheric Administration, a leading US agency, shows that sea surface temperatures in a certain part of the Pacific Ocean (which provides a good indication of El Niño conditions) continue to rise, with an anomaly of +1.5 degrees Celsius in June, and this is expected to rise further through year-end. This is the highest reading for June going as far back as 1982. NOAA forecasts that there is a 97% chance that these conditions will continue through early 2027, and an 81% chance of a very strong El Niño during October to December of this year, placing it among the strongest on record since the 1950s.

Sea surface temperatures in El Niño region in June above historical levels

Monthly sea surface temperature anomalies in the El Niño 3.4 region, 1982–2026



Source: NOAA, ING Research

A realistic view: the impact of El Niño on global agricultural output is fairly limited

This all sounds very alarming, and hardly a day goes by when you don't read about impending declines in agricultural output and higher spikes in food prices. Fearmongering generates clicks, and, of course, El Niño can have a significant impact on certain regions and crops, but it can also be beneficial to other regions and crops, including soybeans. Clearly, the big caveat is that no two El Niño episodes are the same, so there is always a higher degree of uncertainty and risk.

However, if we look at agricultural output for some key crops through moderate to very strong El Niño events in the past, the impact on global agricultural output has been fairly limited. Admittedly, the 2015/16 El Niño event did have a broad-based impact on key agricultural commodity output. But again, on the whole, not alarming.

Technology has also made El Niño less disruptive to agricultural output than it was 30–40 years ago. Wider irrigation coverage helps reduce water stress for crops. In 1980, farmers had equipped around 11% of cultivated area for irrigation; by 2023, that share had doubled to 22%. They also used irrigation more intensively: the share of equipped area actually irrigated rose from around 65% in 1980 to almost 83% in 2023.

Seed technology has advanced as well, improving drought tolerance in some crops. Satellite technology has also strengthened crop monitoring, giving producers and buyers better visibility on emerging stress.

Finally, let's not forget that Brazil has become an agri powerhouse over the last 20-30 years, and El Niño can be beneficial for many crops in South America. However, the risk around this comes down to concerns over fertiliser availability, particularly given the re-escalation of tension in the Middle East.

Looking at global agri output changes for some key crops during El Niño periods does not scream crop shortages. That said, the effects on some perennial crops, such as palm oil and sugar cane, can become more apparent in subsequent years.

Upward and downward shifts in global crop output during El Niño periods

Output change (YoY %) for key agri commodities during last five moderate to very strong occurrences

	1997/98 Very strong	2002/03 Moderate	2009/10 Moderate	2015/16 Very strong	2023/24 Strong
Corn	-3%	0%	3%	-4%	6%
Wheat	5%	-2%	0%	1%	0%
Soybeans	20%	6%	23%	-2%	5%
Rice	2%	-5%	-2%	-1%	1%
Palm oil	-4%	9%	4%	-5%	-1%
Sugar	1%	11%	7%	-7%	0%
Coffee	-6%	14%	-5%	-1%	3%
Cocoa	-1%	10%	1%	-6%	-13%

Source: USDA, ING Research

El Niño is only one of many factors shaping commodity prices

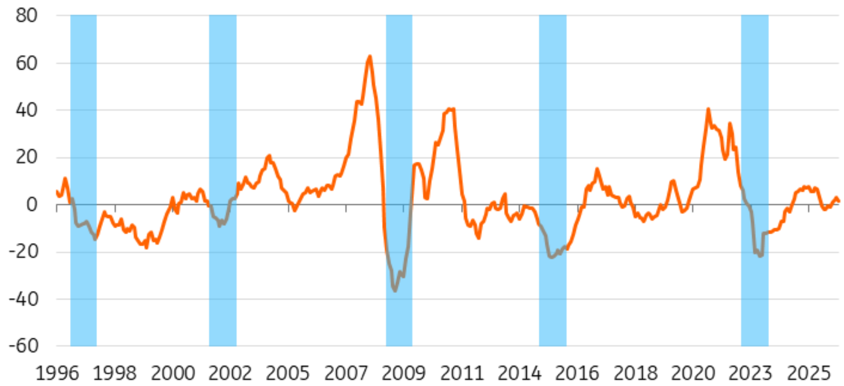
The story does not end with supply. At the end of the day, consumers and governments care about food prices. Yet a look at the UN FAO Food Price Index across past El Niño episodes does not point to a clear pattern of rising prices. In fact, during several of these events, the index actually declined.

The biggest increase during recent El Niño periods occurred during 2009 and 2010. However, this move was part of a broader recovery in commodity prices with Chinese stimulus and the global rebound following the financial crisis. It would be unfair to attribute this rise in prices to El Niño. Similarly, recent significant spikes seen in the FAO food index have generally been driven by factors other than El Niño, including demand shocks and tight inventories. So, while it is prudent to be alert to the risks relating to supply and prices, particularly with forecasts for a very strong El Niño this year, we would caution against assuming that the global outlook is bleak.

Adding another layer of reassurance to markets will be the fact that grain inventories are very comfortable, providing a buffer against potential supply shocks. However, in a scenario where inventories are drawn on heavily, markets will be left relatively tighter post-El Niño.

Recent spikes in food commodity prices outside El Niño events

Year-on-year change in FAO food price index with moderate to strong El Niño periods highlighted



Source: United Nations FAO, ING Research

A deep dive into Asia Pacific: one of the most exposed regions

While global food and agricultural production should remain broadly resilient, there will of course be regional variances and localised impacts. The Asia-Pacific region has historically borne more of the brunt of El Niño, with parts of South and Southeast Asia, as well as northeastern Australia, experiencing drier than usual weather conditions. There is a significant probability that weather disruptions will intensify during the second half of 2026, compounding what has already been one of the hottest periods on record for many countries in the region. That combination poses risks for various crops, including Australian wheat, Indonesian and Malaysian palm oil, Thai and Indian sugar production, as well as rice output across parts of the region.

Asian aquaculture is already feeling the impact...

The potential impact on crops is receiving most of the attention. But one industry that's heavily concentrated in Asia and is already exposed is aquaculture. Catch restrictions on Peruvian anchovy due to El Niño have led to a more than 75% year-on-year increase in fishmeal prices, also because Peru is a leading producer of this essential ingredient for fish and shrimp feed. For farmers and aquaculture companies across Asia, that's concerning given that feed is their largest cost component (typically 55% to 65% of total farm expenses).

...meanwhile the Indian monsoon season has got off to a slow start

The Indian monsoon offers another important warning signal for possible El Niño weather patterns. Running from June to September, the season has got off to a slow start, and the Indian government has forecast rainfall at just 90% of the long-term average for 1971–2000. Although rainfall has since moved closer to normal levels, it still stands 24% below normal so far this season. This gap could narrow over the rest of the monsoon, but alarm bells are already ringing. Some agri markets could face additional pressure if concerns over domestic food availability push the Indian government to impose export restrictions. The government has done this before and earlier this year banned sugar exports at least until the end of September 2026.

Forest fires, river water levels and rain onset data provide early warning signals

While other supply chains across APAC don't have the same exposure yet, fish feed prices and the Indian monsoon act as the proverbial canary in the coalmine because they offer an early indication of what may follow. So, what other signals might provide a glimpse of what's to come? At first sight, real-time data on forest fires in Indonesia, water levels in the Mekong River, and the latest forecasts for the onset of the northern Australian wet season appear unrelated. But taken together, these indicators offer an early warning of where El Niño could begin to disrupt agricultural supply chains across the Asia-Pacific region next.

El Niño can cause large production swings at the national level

Output data for key agricultural commodities across APAC confirms that the region tends to be more vulnerable to El Niño, particularly during strong episodes. Looking at the region in aggregate masks strong crop declines at the country and crop level. For example, Australian wheat output often comes under pressure during El Niño periods, even during weaker episodes. And the declines can be very sharp. In 2002/03, Australian wheat output fell by 58% YoY, while during the most recent El Niño in 2023/24, production declined by 36% YoY.

Very strong El Niño in 2015/16 coincided with a drop in crop production in APAC

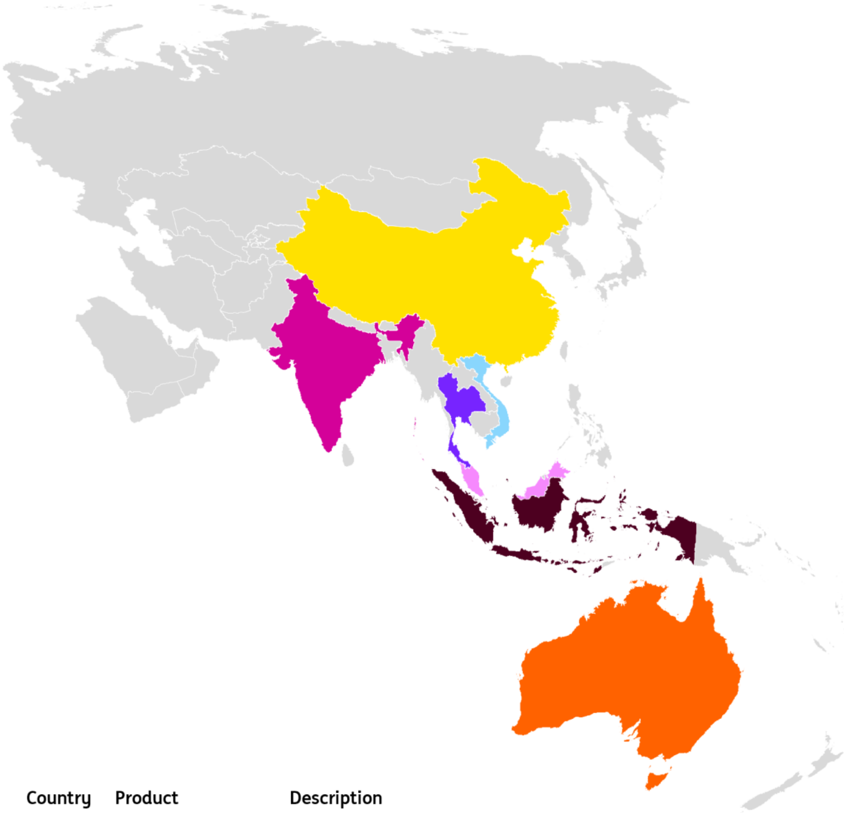
Output change (YoY %) for key agri commodities in the Asia Pacific region during the last five moderate to strong occurrences

	1997/98 Very strong	2002/03 Moderate	2009/10 Moderate	2015/16 Very strong	2023/24 Strong
Wheat	8%	-7%	5%	-3%	-2%
Corn	-15%	4%	-2%	5%	3%
Rice	2%	-6%	-2%	-1%	1%
Sugar	-3%	14%	4%	-9%	-13%
Palm oil	-5%	10%	4%	-6%	-1%

Source: USDA, ING Research

Meanwhile, APAC sugar production consistently sees declines during strong El Niño events, with declines led by India and Thailand. Moreover, the impact on supply is not confined to the El Niño period itself. Because sugar cane is a perennial crop, production can remain under pressure in the following year as well.

Rice, sugar, wheat, aquaculture and beef all exposed in APAC



Country	Product	Description
Australia	Wheat, sugar, beef, dairy	Prolonged drought can reduce crop yields and pasture availability. Also leading to increasing feed costs, lower milk output and pressure on livestock herds.
China	Corn, sugar	Overall impact more moderate, main concern around corn due to larger likelihood of summer droughts.
India	Rice, wheat, sugarcane	Rainfall deficits can pressure yields. Lower crop output could turn India into a net importer of certain crops.
Indonesia	Palm oil, rice	Drier conditions may affect yields, reduce availability of water for irrigation and increase wildfire risk, particularly in plantation and forest areas.
Malaysia	Palm oil	Drier weather can reduce palm oil yields and raise plantation fire risk.
Thailand	Rice, sugar, aquaculture	Lower water availability can affect crop production and freshwater aquaculture.
Vietnam	Rice, aquaculture	Increased risk of drought, in the Mekong River delta drought and saltwater intrusion could affect crops like rice and aquaculture.

The corporate response: how to prepare for yet another risk

Agri & food companies have had to manage their fair share of risks over the past few years, and climate-related risks are a recurring theme. With another major event on the horizon and knowing that APAC is more exposed, it makes sense for companies that either produce in or source from the region to go over their prep work again.

That includes at least three steps: risk assessment, risk reduction and preparation for any rapid response measures.

1. Closer monitoring of developments, combined with company-specific data, enables decision makers to identify whether any material impact is expected. This goes beyond the procurement team because other areas like logistics can also be affected. Weather disruptions can hinder logistics within the region as well as major trade routes to the US, where we already see some restriction of capacity in the Panama Canal.
2. If there is a material impact, companies can take additional measures to reduce risks. This could be through physical measures, including improved irrigation, additional water or feed storage and measures to reduce risks of forest fires. Taking financial measures can also help traders manage risk, for example by focusing on their hedging strategies, maintaining adequate liquidity, and protecting profitability.
3. Another way to reduce risk is by increasing operational flexibility. Capacity utilisation in food processing could be affected when farmers make different planting decisions or when harvests are lower or delayed. More substitution of certain inputs might be required. Coming back to our fishmeal example, the jump in fishmeal and fish oil prices means that feed companies have an incentive to use alternatives, including soymeal and algae in their feed mix. The companies that succeed in doing so will have a cost advantage.
4. Physical or regulatory disruptions could occur later this year. Export restrictions from individual Asian countries on certain crops to shield domestic supply are one example.

Designing a dashboard to better assess risks

So, if you're a decision maker in the food industry and want to keep a close eye on how the impact of El Niño develops in APAC, what would your 'risk monitoring dashboard' look like? In essence, it will likely include data on commodity prices, crop conditions (including AMIS crop monitor, Abares crop report) and weather patterns (like Indian monsoon rainfall). We argue that adding real-time data on physical indicators can further improve visibility on what happens on the ground.

Examples of such data are:

- Sea surface temperatures in El Niño area
- Anchovy landings in Peruvian ports
- Water reservoir levels (for example in India, Thailand)
- Water levels in the Mekong river at Kratie in Cambodia
- Forest fires in Indonesia

Many of the larger food & agri companies will have a certain kind of monitoring in place because of previous extreme weather events or other supply disruptions, especially if they're operating more upstream. But for others, including companies operating more downstream in the food & agri value chain, the 2026/27 El Niño could be the trigger to invest more time and resources to better prepare for any hit to the supply chain. Even if the impact at a country or commodity level turns out to be less severe than feared, good planning now will help with the next weather-related supply shock.

Short-term pain and short-term gain at the company level

We have argued that El Niño tends to have a limited impact on global agricultural supplies and food prices. That said, its effects can be significant at the regional level, with Asia-Pacific among the most vulnerable regions. The current situation highlights the wide range of risks companies must manage, from geopolitics to climate-related disruptions. While some businesses are likely to face short-term challenges, others may benefit from short-term opportunities. For companies in the APAC region, the ability to adapt will be crucial in the event that conditions deteriorate. Meanwhile, food and agriculture businesses elsewhere, particularly in the Northern Hemisphere, could benefit in the near term if production in the most affected regions falls short of expectations.

Author

Warren Patterson
Head of Commodities Strategy
Warren.Patterson@asia.ing.com

Thijs Geijer
Senior Sector Economist, Food & Agri
thijs.geijer@ing.com

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Article | 3 August 2026 FX

FX Daily: Joint yen intervention is a containment exercise

The FX week starts with traders bracing for another day of USD/JPY intervention from Japanese and US authorities. Despite a lot of dollars having been supplied to the market over the last three days – perhaps $70-80bn – the broader dollar is holding up quite well. Whether that continues to be the case will be a function of this week's US jobs data

Joint US-Japan intervention is rare, but we doubt it drives USD/JPY sustainably under 155

USD: Market still buying into a Fed hike

In theory, the dollar should be broadly weaker today after the US and Japanese authorities confirmed joint FX intervention (more below) and the Japanese probably sold $70-80bn over the last three days. Lower oil prices should also be weighing on the dollar on reports from US President Donald Trump that negotiation, rather than military firepower, is Washington's preferred method of engaging with Iran.

The fact that the dollar is not broadly weaker probably owes to the unresolved issue of whether the Federal Reserve will hike in September. Having briefly priced less than 10bp of tightening after Chair Kevin Warsh's press conference last week, that pricing has now bounced back to 16-17bp on the view that a failure to hike would lead to a further sell-off in the long end. Here, US 30-year Treasury yields remain over 5.20% and the 30-year mortgage rate has risen to 6.75%.

It seems the only way the Fed can avoid hiking in September is if the US data is poor enough. A major input to that decision comes this week in the form of US jobs data, including JOLTS job openings, ADP, and Friday's non-farm payrolls report. On NFP, consensus is around +75-80k and probably not quite weak enough to rule out a Fed hike. In other words, the case for a sustained sell-off in the dollar has yet to be made.

For today, the focus should be on a reasonably strong July ISM manufacturing release.

The DXY dollar index will be bounced around by the USD/JPY intervention story, but with decreasing marginal impact from this news story, we suspect DXY could find support near 99.35/40 and can break back above 100 this week.

Chris Turner

EUR: What to make of EUR/JPY intervention?

EUR/USD should probably be doing better, buoyed by decent eurozone hard data last week, lower oil prices and lots of dollar selling from Japan. The fact that it is not may partially be owed to the news that US authorities were checking rates in – and possibly selling – EUR/JPY on Friday. However, we doubt such news will have any lasting impact on the euro. For reference, the US Treasury only has around $13bn of euro-denominated FX reserves to sell ($1.2bn in deposits, $11.7bn in securities), which is barely a drop in the ocean compared to Tokyo's activity in FX markets and the size of global FX flows.

We suspect the US Treasury might have sold EUR/JPY – in effect raising yen investments at the Exchange Stabilisation Fund at the expense of the euro – to avoid having to explain to the US public why it was selling the dollar.

The bigger and more lasting driver of the EUR/USD trend will be the Fed's September decision. That remains unresolved, and US data this week will have a big say if we end the week pressing 1.1615/20 resistance or trading back below 1.15.

Chris Turner

JPY: Intervention as a containment exercise

The big story here is participation from Washington in bilateral intervention with Tokyo. The Fed had checked rates – a precursor to intervention – back in January, but seems to have pulled the trigger on Friday. Why now? Perhaps US Treasury Secretary Scott Bessent had felt that the weak yen was undermining JGBs, which, in turn, was weighing on Treasuries. Notably, Japan has intimated it will be using the Fed's new FIMA repo facility. This allows it to raise dollars against Treasury holdings rather than having to outright sell Treasuries to undertake intervention.

There is a lot to say on this subject, but what does it mean for USD/JPY prospects? This intervention does not change the fundamentals of a Fed close to hiking and Tokyo running a loose set of monetary and fiscal policies, which are weighing on the yen. We struggle to see this bilateral action driving USD/JPY sustainably below 155. But equally, it does serve as a containment exercise, limiting investors from chasing USD/JPY through 160 and buying time for Tokyo to introduce more yen-positive policies. These could include more incentives to invest in Japanese domestic assets.

Chris Turner

CEE: Better mood helps regional currencies but koruna may lag

The new month starts with a fresh data calendar, led by Turkey today. We expect July CPI inflation at 1.7% month-on-month, bringing the annual rate down to 31.7% from 32.1% in the previous month. On a seasonally adjusted basis, which the central bank monitors closely, we expect July inflation to move back above 2%, closer to the average seen over the past two years.

On Wednesday, the Czech Republic will release July inflation, which we expect to rise from 1.5% to 1.7% year-on-year, driven by higher fuel prices after the end of the reduced diesel excise tax and margin cap at fuel stations. The Czech National Bank meeting follows on Thursday, where rates are likely to stay unchanged at 3.75%; the focus should be on the new forecast and forward guidance, which we expect to be dovish relative to market pricing.

Hungary will publish July inflation on Friday, and we expect a further decline from 1.7% to 1.2%, below both market expectations and those of the National Bank of Hungary.

As in recent weeks, Middle East headlines are setting the tone at the start of the week. The lack of further escalation points to a more constructive mood in the days ahead, while new highs in EUR/USD should support some gains in CEE currencies. EUR/HUF touched local highs near 365 on Friday, driven by global risk-off and news from Hungary about the temporary closure of a nuclear power plant, which could affect both industrial production and energy imports. Given its current sensitivity to global risk sentiment, the forint could benefit the most in the region, followed by the Polish zloty. By contrast, EUR/CZK remains largely driven by the interest-rate differential, and this week's CNB meeting should deliver a dovish tone, pushing EUR/CZK above 24.250.

Frantisek Taborsky

Author

Chris Turner
Global Head of Markets and Regional Head of Research for UK & CEE
chris.turner@ing.com

Frantisek Taborsky
EMEA FX & FI Strategist
frantisek.taborsky@ing.com

Francesco Pesole
FX Strategist
francesco.pesole@ing.com

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Article | 3 August 2026 RATES SPARK

Rates Spark: Rates are seeking new levels to settle

Markets have a pile of macro data and central bank speak to digest from last week, and with US payrolls scheduled for Friday, expect more volatility ahead. Meanwhile, oil remains the wildcard and could be the deciding factor in whether we're looking at lower or higher rates by the end of this week

We expect volatility to continue in rates markets, with oil prices potentially being the deciding factor on whether we have lower or higher rates this week

Bearish rates bias but oil will be the judge

Euro rates seem happy to drift higher as growth surprises have turned significantly more positive of late. Last week's inflation reading was also slightly on the bearish side, with core CPI unexpectedly ticking up. While we think inflation risks are less than feared, in the near term we would not push against markets' hawkish ECB positioning. Structurally, we still think 2Y euro swap rates should find themselves lower, but this might be more of a 2027 story. As we get more inflation data, limited second-round effects should allow for a more dovish ECB outlook.

For US rates, we continue to see potential for a steepening from both sides in the near term. After last week's FOMC meeting, markets have turned more dovish on the Fed, but the long end is clearly vulnerable to higher rates. The expectations for Friday's payroll numbers are just 88k, but still in positive territory. In a scenario of easing inflation and a relatively steady jobs market, longer rates can stay anchored at higher levels even if the front end comes down.

Only when the economic outlook starts deteriorating should we start seeing a more noticeable bullish move in US rates. With the US consumer increasingly struggling, we expect growth headwinds to start mounting in 2027. Therefore, structurally, we still eye lower US rates across the curve.

Meanwhile, the correlation between oil and rates remains strong, and even though the latest signs have turned more positive, we'll have to see concrete steps to open the Strait to prevent oil prices from rising again. The relationship does not show any signs of easing. If anything, the longer oil prices remain elevated, the higher the risk of second-round inflation effects. Based on a simple linear model, a $10 rise in Brent oil translates to around a 10bp higher 2Y EUR swap rate, 15bp for the 2Y GBP swap rate and 6bp for 2Y USD swap rates.

Monday's events and market views

The data highlight will be the US ISM manufacturing from July. Consensus sees an improvement of the headline number from 53.3 to 54.0. Earlier from Europe, we also have Italian and French manufacturing PMIs. So far, the manufacturing indicators have shown resilience amid higher energy prices, and consensus expects another tick higher.

No notable supply is scheduled.

Author

Michiel Tukker
Senior UK & Eurozone Rates Strategist
michiel.tukker@ing.com

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Article | 31 July 2026 POLAND

Poland inflation rises in July as fuel support ends

Headline inflation rose above the National Bank of Poland's target in July but remains within the bounds of acceptable deviations. The upswing was driven by more expensive fuel amid higher VAT rates and a renewed spike in crude oil, but general price pressure remains contained. We see no room for rate changes this year

Krakow, Poland

Inflation back to 3% again in July

According to Statistics Poland's flash estimate, CPI inflation accelerated to 3.0% year-on-year in July from 2.5% in June. The main driver was a 13.9% month-on-month surge in fuel prices following the end of the government's fuel price support programme. The standard 23% VAT rate on motor fuels was reinstated at the start of the month, replacing the temporary 8% rate, while fuel price caps were also scrapped. As a result, higher fuel prices are estimated to have added around 0.5-0.6 percentage points to annual inflation compared with June.

July marked the third consecutive month of falling food and non-alcoholic beverage prices on a monthly basis (-0.8% MoM). This contrasts with signals from several eurozone economies, where food prices surprised on the upside. Energy prices increased by 0.1% MoM, most likely reflecting higher prices of LPG and heating fuels.

No signs of broad-based price pressures

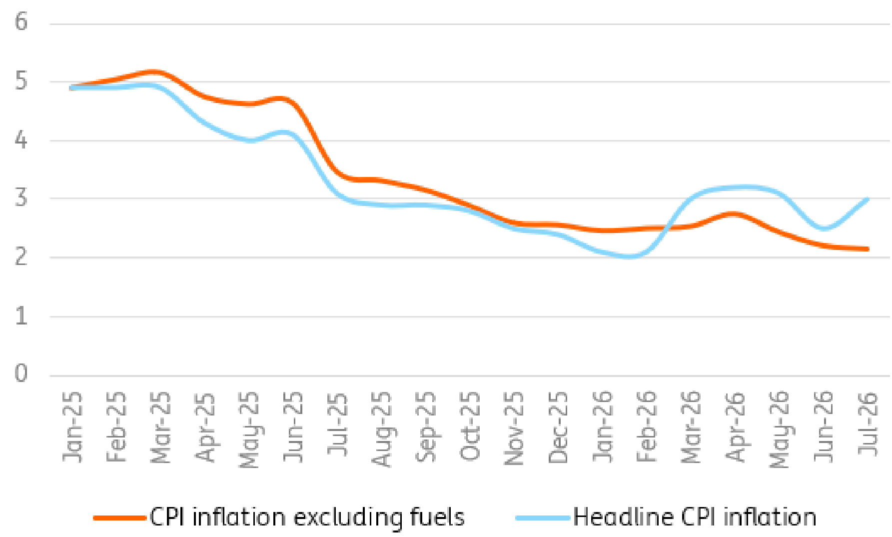
We estimate that core inflation excluding food and energy edged up to 3.1% YoY in July, from 3.0% YoY in June. Geopolitical developments and volatile global oil prices have been the main source of inflation fluctuations in recent months, feeding into domestic fuel prices.

Experience from the first phase of the conflict suggests that domestic demand conditions are not strong enough to allow for a broader inflationary impulse. Higher fuel prices have so far had only a selective impact on other components of the inflation basket.

In July, inflation excluding fuel prices remained low at 2.2% YoY, unchanged from the previous month. The latest low readings were supported by the recent fall in food prices. In addition to pronounced seasonal declines in selected fruit and vegetable prices and favourable conditions in some agricultural markets, including meat and dairy products, the latest round of price war among major retail chains has continued to restrain food inflation.

CPI boosted by fuels, but not much more

Consumer prices, % YoY



Source: GUS, ING.

Our baseline scenario assumes that, as in the initial phase of the Middle East conflict, higher fuel costs will have only limited spillover effects on the prices of other goods and services, with no significant second-round inflationary pressures emerging. The key uncertainty remains the duration of the conflict and the associated fuel shock.

The longer fuel prices remain elevated, especially in the absence of meaningful government support measures, the greater the risk that businesses will seek to pass higher costs on to consumers. That said, slowing nominal wage growth and the squeeze on household purchasing power from higher fuel spending should continue to restrain demand and limit the scope for broader price increases.

Interest rate outlook

In the current circumstances, we do not see conditions that would warrant discussions of post-summer monetary easing by the National Bank of Poland. We expect NBP policy rates will remain unchanged by the end of this year. Limited rate cuts may become possible in 2027, provided inflationary pressures remain contained and economic conditions evolve in line with our expectations.

Author

Rafal Benecki
Chief Economist, Poland
rafal.benecki@ing.pl

Adam Antoniak
Senior Economist, Poland
adam.antoniak@ing.pl

Disclaimer

Article | 31 July 2026 FX

FX Daily: Dollar hits post-FOMC perfect storm

The hangover from a dovish Fed surprise, paired with JPY intervention ahead of this morning's BoJ hold, has taken DXY back to levels seen during Warsh's USD-bullish June press conference. It may be too early to call a bottom in this USD selloff, but we could see some stabilisation today. Eurozone CPI data is in focus this morning

There may still be room for further USD long-squeezing, and we remain reluctant to call the bottom in this dollar selloff just yet

USD: Losing more ground

The post-FOMC dollar selloff accelerated yesterday. Markets remained concerned that the Federal Reserve may be reluctant to translate its price stability rhetoric into effective policy tightening. Combined with Fed Chair Kevin Warsh's ambiguity about the reaction function, this continued to weigh on USD, whose summer strength had been largely driven by Fed hike expectations.

But other factors came into play yesterday. Core PCE, the Fed's preferred inflation gauge, rose only 0.1% month-on-month in June, while Q2 growth undershot expectations at 1.5% quarter-on-quarter annualised. Adding to the pressure was JPY intervention (more in the JPY section below), which triggered a more than 3% decline in USD/JPY and spilled over into broader USD sentiment.

The DXY index, where the yen carries a 13.6% weight, briefly dipped below 100.0 and reached its lowest level since 17 June, when Warsh's first Fed meeting sent the greenback higher. Position-squaring likely amplified the move. Our estimate of aggregate USD net speculative positioning versus G9, based on CFTC data, showed the most stretched net-long USD positioning since January 2025 as of 21 July. At the same time, leveraged funds reported their largest EUR/USD short positions since 2021.

That suggests there may still be room for further USD long-squeezing, and we remain reluctant to call the bottom in this dollar selloff just yet. Any disappointment in US data should lead to a larger dovish repricing than before, particularly if oil prices come under renewed pressure. Fedspeak will also be crucial. If dissenting votes become the new norm, off-meeting remarks from individual FOMC members are likely to receive greater scrutiny as markets assess voting intentions ahead of the next meeting.

Francesco Pesole

EUR: Better supported

EUR/USD broke through 1.150 with little resistance yesterday as the dollar came under broad-based pressure. While the euro initially outperformed most G10 peers after the Fed announcement, it lagged behind yesterday despite stronger-than-expected Q2 GDP growth (0.4% QoQ) and hotter July inflation readings in Germany and Spain.

Eurozone-wide inflation data is out today, with consensus expectations at 2.9% for headline and 2.4% for core. Still, upside room for front-end EUR rates looks somewhat contained at this stage. With a September hike from the European Central Bank largely priced in, markets will likely need a stronger signal from either oil prices or inflation to return to pricing 2.75% by year-end.

We think the sharp shift in USD momentum leaves near-term risks tilted to the upside for EUR/USD. Some stabilisation may be seen today, but next week's packed US calendar can provide fresh catalysts. At this stage, we would not view a move above 1.160 as very sustainable unless markets repriced USD rates materially lower again and Middle East tensions eased. Still, EUR/USD may continue to find buyers around the 1.150 level for a while longer.

Francesco Pesole

JPY: Swimming against the tide

USD/JPY has been on a rollercoaster, falling 3% yesterday on Japanese intervention, only to bounce back near 2% overnight. The Nikkei reported that Japanese authorities did indeed intervene yesterday and that the Fed, as it did in January, also checked rates yesterday afternoon.

Back in January, the Fed checking USD/JPY rates on behalf of the US Treasury was a big story which reflected the co-ordinated nature of intervention and the shared concern by the US and Japan over the weak yen. However, the story has moved on now, and we would need to see some own-account intervention from US authorities to give USD/JPY another leg lower.

We could well see some more Japanese FX intervention today and early next week, since intervention typically comes in blocks of a few days. But until we get a clearer signal that the Fed is not going to hike in September and the broader dollar trend clearly turns lower, intervention can only slow rather than reverse the underlying USD/JPY bull trend.

Chris Turner

CEE: Forint and zloty find more room to rally

Yesterday's Q2 GDP releases in Hungary and the Czech Republic came in slightly below expectations but still pointed to relatively resilient growth. In the Czech Republic, however, GDP was well below the Czech National Bank's forecast, triggering dovish repricing and leaving the koruna underperforming CEE peers despite the broader EM FX rally after the US dollar weakened.

Today's focus shifts to Poland's July inflation print, where we expect a rebound from 2.5% to 3.1%, mainly reflecting the unwinding of government measures that previously capped fuel prices. The release should offer an early signal for next week's regional inflation data, while also keeping NBP rate-cut discussions in focus after they were opened at the last meeting.

The forint and zloty rallied yesterday, in line with our view after Wednesday's Fed meeting and the weaker US dollar. With no new Middle East headlines and the dollar weakening further, we think both currencies have more room to gain, while the koruna should keep underperforming ahead of next week's CNB meeting.

Frantisek Taborsky

Author

Frantisek Taborsky
EMEA FX & FI Strategist
frantisek.taborsky@ing.com

Francesco Pesole
FX Strategist
francesco.pesole@ing.com

Chris Turner
Global Head of Markets and Regional Head of Research for UK & CEE
chris.turner@ing.com

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Article | 31 July 2026 RATES SPARK

Rates Spark: Recalibrating rate assumptions

Markets have a lot of new information to absorb from this week, and we can expect more rates volatility going forward. We see scope for a more dovish repricing for USD and GBP rates, but longer rates could see upward pressure. Robust eurozone macro data allows euro swap rates to settle higher

With central bank decisions, macro data and geopolitical tensions, we see volatility ahead for rates markets

Central banks, macro data and geopolitics: a volatile cocktail

Markets have a lot to absorb, and we should brace for more rates volatility. Eurozone growth seems to be holding up, with the headline GDP figure for the second quarter on par with the US number at face value. Don’t expect a stellar uptick in Europe’s growth from here, but at least the downside risks from the geopolitical turmoil haven't seemed to materialise. In effect, the European Central Bank can focus more on inflation than on growth, supporting the hawkish stance of markets. Positive market sentiment and higher US rates also add upward pressure to longer rates, which means the 10Y euro swap rate can probably find comfort around the 3.2% handle.

In contrast, we see a stronger case for a dovish repricing in USD and GBP rates at the moment. After a hold by the Federal Reserve and a benign PCE deflator, markets no longer see the Fed hiking twice over the coming year. Having said that, September will be a difficult meeting to remain on hold. Learning from the reaction to Wednesday's meeting, we don't think markets will take it lightly if Fed Chair Kevin Warsh doesn't show full dedication to fighting inflation. And with little to no forward guidance, markets are left in the dark for many weeks. That leaves longer US rates exposed to another push higher.

The Bank of England managed to comfort markets about the inflation trajectory, in line with our own economists' views. This should give the BoE more time to hold the policy rate, with markets now only pricing in a 30% probability of a September hike. For longer rates, the story remains more complicated, however. The 10Y GBP swap rate tends to follow US rates, for which we still see more upside risks in the near term. As such, similar to the US, we think steeper curves are the natural next move from here.

Friday's events and market view

The Bank of Japan is the last major central bank to meet this week. Markets see a hold, and so do we. From the eurozone, the CPI number for July will be the highlight. Consensus anticipates the core CPI remaining stable at 2.4%, which would provide comfort to concerns about second-round inflation effects.

Author

Michiel Tukker
Senior UK & Eurozone Rates Strategist
michiel.tukker@ing.com

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